

Question 1. In the course textbook by *Thompson et al*, and also in class, we discussed the ‘5 generic competitive strategies’ developed by *Porter* (see Chapter 5 of *Thompson et al.*). Regarding *Porter’s* model in Chapter 5, please do the following:

- a. Discuss which strategy is evident for the following organizations and why they are successful (or not): *McDonalds* and *Rubbermaid*.

McDonald's primarily follows a **broad low-cost strategy**, focusing on achieving lower overall costs than rivals on comparable products to attract a broad spectrum of buyers. This strategy is evident in various aspects of McDonald's operations, and its success is attributed to several key factors:

1. **Economies of Scale:** McDonald's buys products in bulk, standardized menu items, and a consistent operational model across locations help reduce costs and increase efficiency. I believe that these strategic practices not only contribute to cost reduction but also reinforce the company's position as a provider of affordable options to a large number of consumers.
2. **Value Menu:** McDonald's is well-known for its value menu, offering a range of affordable options. I think by providing a variety of menu and value menu items at lower prices, McDonald's attracts all spectrum of buyers even including budget-conscious consumers.
3. **Global Standardization:** McDonald's maintains consistency in its offerings worldwide. This standardized approach not only ensures a uniform quality of products but also contributes to **cost reduction** through streamlined production and supply chain processes. By incorporating regional flavors and adjusting menu options, they can appeal to diverse consumer preferences without significantly increasing costs. I think this ability to target to local markets while maintaining cost efficiency highlights McDonald's successful execution of a **broad low-cost strategy** on a global scale. I believe by reducing the cost, it is able to provide affordable options to buyers.

Rubbermaid, known for its innovative storage and organizational products, primarily employs a **broad differentiation strategy**. This strategy involves differentiating the company's product offerings from rivals' by incorporating unique attributes that appeal to a broad spectrum of buyers. The reasons why this strategy is evident for Rubbermaid and how it contributes to the company's success are:

1. **Product Innovation:** Rubbermaid is renowned for its continuous product innovation. The company introduces unique features and designs in its storage solutions, such as modular designs, stackable containers, and specialized compartments.
2. **Diverse Product Range:** They offer a broad range of products across various categories, including storage containers, trash cans, cleaning supplies, and kitchenware. As a customer, we have a wide selection of products to choose from within the Rubbermaid brand, making it less likely for us to switch to alternative brands or products.

3. **Quality and Durability:** Rubbermaid emphasizes the quality and durability of its products. By providing sturdy and long-lasting storage solutions, the company establishes itself as a reliable brand in the market.

I think these three attributes of Rubbermaid set them apart as a **broad differentiator** compared to competitors, while targeting a wide range of customers.

b. We discussed Walmart in class as a broad, low-cost provider. How are they able to do this successfully? How does Walmart's merger & acquisition focus help them attain their low-cost strategy?

Walmart is a prime example of a **broad, low-cost strategy**, aiming to achieve lower overall costs than rivals on comparable products and attract a broad spectrum of buyers. Several factors contribute to Walmart's success in implementing and maintaining this strategy:

1. **Supply Chain Efficiency:** Walmart has invested heavily in creating a highly efficient supply chain. The company uses advanced technology for inventory management, demand forecasting, and logistics. I know for sure this efficiency enables Walmart to reduce costs, minimize waste, and offer competitive prices to consumers.

2. **Store-Wide Efficiency:** Walmart focuses on operational efficiency within its stores. I think the "everyday low prices" (EDLP) strategy is a key component, eliminating the need for frequent promotions and ensuring a consistent and low pricing structure. I personally think this strategy has worked for me, as a frequent Walmart shoppers.

3. **Great value Products:** Walmart promotes and sells many of their own brand products called great value. As I personally buy these products which often come at a lower cost compared to branded alternatives, contributing to overall cost reduction for Walmart and providing consumers with more affordable options.

4. **Global Sourcing:** Walmart sources products globally, taking advantage of cost differentials in various regions. I believe this global approach allows the company to find suppliers offering products at the most competitive prices, further contributing to cost leadership.

Regarding Walmart's merger and acquisition (M&A) focus, the company strategically acquired businesses that complement its operations and enhance its overall efficiency. Acquiring companies in various sectors, such as e-commerce (e.g., Jet.com), online retail (e.g., Flipkart), and outdoor products (e.g., Moosejaw), allows Walmart to diversify its offerings and reach a broader customer base. Increasing a customer base, creating brand loyalty plays a huge role in sales which increases profit both in long run and short ones which can be used to attain a **low cost strategy**. And ofcourse Walmart is one of the best quality you can find in developing countries. For instance: if there are same good from Walmart and other companies in thierd world countries, Walmart shines the most. So, Now that I know that Flipkart is from Walmart, I can trust it and assume the same quality as walmart. Secondly, I believe Walmart's acquisition of global companies also brings the advantage of cost reduction through the optimization of shared

operations or resources, treating them as a unified entity. This reduces a big cost of supply chain or operations as it can kill two birds with one stone. Lastly, Walmart doesn't just acquire random companies, it is strategically aligned with their goals. For instance : I think the main reason Walmart acquired Jet.com is for technology. As Jet.com is for e-commerce expansion, Walmart can learn from them to meet their goals, similarly, flipkart is another popular online retailer in india. This is an example or test that Walmart can run and meet their goals.

c. Discuss the concept of value relative to *Canada Goose's* focused differentiation strategy (see page 145 in the *Thompson et al.* book). What are some of the advantages and some of the risks of *Canada Goose* pursuing this strategy?

"Value relative" refers to how well a company's products or services meet the distinctive preferences and needs of its target customers, considering the unique attributes and differentiation strategies in comparison to competitors. Focused differentiation strategy is where a company concentrates on creating unique and specialized products or services tailored for a specific market segment. Canada Goose has adopted a **focused differentiation strategy**, targeting a narrow market segment of upscale buyers who value uniquely functional and stylish winter jackets. Its advantages and risks.

Advantages of Canada Goose's Focused Differentiation Strategy:

1. **Premium Pricing:** Canada Goose can charge premium prices for its parkas due to the unique features, quality, and performance. I believe that this focused strategy allows the company to make a large range of profit from just one product.

2. **Brand Image and Recognition:** The brand has gained global recognition and popularity, especially among celebrities and affluent consumers. The distinct Canadian heritage, the use of locally sourced materials, such as down and coyote fur, contribute to the brand's unique identity and appeal. For instance: when I see people wearing it, the first thing that comes to my mind is, "oh, that person is rich" because of its affordability.

3. **High-Quality and Unique Attributes:** Canada Goose's commitment to providing warmth in extreme temperatures, coupled with its "Made in Canada" promise, has differentiated its products from competitors. This focus on quality, functionality, and Canadian authenticity enhances the perceived value for customers.

Risks of Canada Goose's Focused Differentiation Strategy:

1. **Imitation by Competitors:** The risk exists that competitors may find ways to imitate Canada Goose's capabilities and offer products specifically designed to appeal to the target niche. If rivals replicate the unique features and branding, and offer a cheaper price. Canada Goose's value can significantly go down. The entry of new players could lead to increased competition and a dilution of Canada Goose's market share.

2. **Inflation:** I believe that inflation poses a challenge beyond the control of both companies and countries at times. As inflation can significantly affect the affordability and demand for these goods. It particularly impacts companies employing a focused differentiation strategy, as their products tend to be more costly. So, their market is more volatile.

3. **Niche Market:** In adopting a focused differentiation strategy, Canada Goose targets a limited number of consumers, significantly reducing its potential market size. The high price may pose a convenience challenge for customers. I think it's a bold move for Canada Goose as the saying goes, "Go Big or Go Home"—either it will become as popular as other luxury brands like Hermes and Chanel, or it might fail due to a lack of customer interest.

Question 2. We have discussed the concepts of “transaction costs” and “production costs” that are fundamental in a firm’s make-or-buy decision (see Chapter 8 of *Thompson et al.*). We have also seen how firms behave, or not, in accordance with the principles of the corporate social responsibility (CSR) model (see Chapter 9 of *Thompson et al.*). Regarding the *Sonicsgate* case and our discussion in class, please answer the following:

a. How did the OKC ownership group drive up “transaction costs” for the city (community) of Seattle in acquiring and moving the Sonics to Oklahoma City?

Transaction costs can be defined as the extra expenses or efforts you have to deal with when you're buying or selling something, beyond just the price of the product itself. I believe that Supersonics possessed valuable, rare, inimitable, and non-substitutable (VRIN) qualities, making them an asset that would require acquisition through unconventional means. Else, i don't think there was another way to shift them to OKC.

OKC ownership group drove up the transaction cost by:

1. **Strategic deception:** The OKC ownership group, led by Bennett, increased transaction costs for the city of Seattle by strategically deceiving them during the acquisition and relocation of the Sonics. I believe by initially acquiring the team without disclosing their real intention to move it to Oklahoma City, forced Seattle to spend resources towards legal battles, public relations efforts. This deceptive strategy increased financial burdens through increased legal fees and negotiation expenses, time as well as emotional costs, as Seattle fans were disheartened by the potential loss of their team and the implied failure of their city to support it. I believe having to file a lawsuit to enforce the terms of lease in 2007, is also an example of increased transaction costs.
2. **By Financials :** I believe Bennet drove the transaction cost by the help of his strong financials. By purchasing the team and proposing a \$500 million renovation plan for Renton, which surely would not be approved, Bennett created false hopes and additional financial burdens for Seattle. For example, offering a \$45 million payout to break the lease. All of these were happening in around the year 2008, which was the time of the Great Recession in the US. Therefore, I think Bennet was able to increase the transaction cost of financials in other ways by capitalizing the financial struggles itself. In simple words, I would say Bennet used money to drive up the transaction (money) cost for the city of Seattle.

3. Through their strong relationship with NBA leadership, particularly David Stern: This relationship was stronger when Oklahoma City offered to host the New Orleans Hornets temporarily after Hurricane Katrina. Bennett's close ties with Stern led to a level of influence and favoritism that benefited him in various decisions, including the NBA's approval of the team's relocation to OKC. I think this influence further increased transaction costs for Seattle by limiting their ability to negotiate and retain the Sonics within the city significantly.

b. The Sonicsgate video case also provides insight into possible strategic deception. Using Porter's 5-Forces model discussed in Chapter 3 of *Thompson et al.*, please provide an assessment of the Sonics' acquisition and eventual move to Oklahoma City from a strategic deception lens.

1. Concealing the intention to relocate the team: Bennett strategically deceived by not revealing the plan to move the Sonics to OKC. There was a **competitive rivalry** in owning any basketball team because the supply is limited as the NBA only allows few teams to be in the league. Howard's power as the owner, is higher as the **bargaining power of suppliers** aspect of Porter's model. I strongly agree that Bennett recognized Howard's influence and used strategic deception to meet his terms of keeping teams in Seattle before buying the Sonics.
2. Increasing false hopes of KeyArena renovation: I see this as a strategic deception tactic because proposing a \$500 million renovation, especially after a \$250 million project failed to gain approval in the past, is clearly misleading the city of Seattle by offering unrealistic expectations. I am surprised people even believed it in the first place, without any doubts. While Bennett knows that such a proposal is unlikely to be accepted, he is also gaining trust from Seattle fans by presenting himself as committed to significant improvements. From a business point of view I find this deceptive move was a necessity due to Bennett's **limited buying power** before and even immediately after acquisition.
3. Relationship with the NBA: Another instance of strategic deception is Bennett's relationship with the NBA, which also relates to the curveball strategy of allowing rivals to misinterpret success. The NBA was impressed by Oklahoma's hosting of the Hornets post-hurricane. However, I can observe Bennett was strategically creating relationships with the NBA preparing himself for the ultimate move to relocate the Sonics to OKC. This relationship served as a competitive advantage against potential substitutes. This aligns with the aspect of Porter's model by reducing the **threat of substitutes**.

Despite all the things, I still think the Bennett's work is praiseworthy from business point of view. What a win, it is !!!

c. Finally, what are the distinctive competencies of the OKC ownership group and city of Seattle and why?

The distinctive competencies of the OKC ownership group are :

1. **Strategic Planning and Execution:** The OKC group demonstrated a strong ability to plan and execute complex strategic actions. For example, they strategically built relationships by hosting

the Hornets, hid their true intentions for relocating the Sonics, and managed to finalize the lease agreement two years ahead of time, despite facing complexity. From an ethical point of view, I would not find this to be right but from a business point of view OKC ownership group's work to achieve the Sonic is phenomenal.

2. **Networking:** The OKC group had influential connections within the NBA, as evidenced by their communications with league officials. These relationships were pivotal in facilitating the team's relocation. I agree with the saying, "Your net worth is your net-work". This case has validated the saying even more.

3. **Financial Resources:** I must say that the OKC group demonstrated strong financial capability by committing \$45 million to terminate the lease early, despite having recently acquired the team all during 2008 (The great recession). This was the time when big companies such as Lehman brothers filed for bankruptcy but OKC group has so much money.

The distinctive competencies of city of Seattle are:

1. **Legal and Contractual Leverage:** Seattle had the lease agreement for KeyArena, which was initially a significant barrier to the team's relocation. I personally think this contractual leverage was a core competency in negotiations and even enough for the city of Seattle to win the case. But Benet made an agreement before hearing from court.
2. **Community Support:** There was strong local support for keeping the Sonics in Seattle. I believe the community's passion and commitment to the team were actual core resources that the city could leverage in trying to keep sonic.

Question 3. Boeing and GE are both significant firms in the development and manufacture of aerospace systems. These organizations are successful in both defense and commercial aerospace components of the Aerospace & Defense (A&D) industry. Each firm has an important international presence as well. Please answer the following questions relative to their influence and performance:

- a. **Using the concept of "home country industry advantage (see Chapter 7 in Thompson et al.)," discuss why Boeing and GE are able to sustain a competitive advantage in the A&D industry?**

Boeing and GE sustain a competitive advantage in the Aerospace and Defense (A&D) industry due to various factors associated with their home country advantage.

1. **Demand Conditions:** The United States, Boeing and GE's home market, has a large and mature aerospace market with high demand for commercial and military aircraft. This provides a significant base for both companies to innovate and improve their products to meet domestic buyers' needs and wants. Additionally, I personally think that the U.S. market's growth potential, filled with demanding domestic buyers, drives innovativeness and quality improvements, fostering the development of stronger industries.

2. **Factor Conditions:** I think being in the US both Boeing and GE benefit from the availability of advanced factor conditions in the United States such as a skilled workforce, advanced technical and managerial knowledge, and a robust infrastructure. The US probably has the one of

the **best** manpower and resources in the world for many reasons. For example, GE Aviation provides jet engines, parts, and digital solutions for aircraft, capitalizing on the country's technological prowess and efficient supply chain networks.

3. Related and Supporting Industries: The U.S. has many other of related industries within the A&D sector, including suppliers of components and equipment, distributors, and makers of complementary products. I strongly believe that this ecosystem promotes collaboration, knowledge sharing, and efficiency throughout the value chain, benefiting firms like Boeing and GE.

4. Firm Strategy, Structure, and Rivalry: Both Boeing and GE have developed strong management, organization, and strategic capabilities within the U.S. environment as they are both old companies which are atleast more than 60 years old. The competitive rivalry in the U.S. aerospace market has increased their competitive capabilities, preparing them for international competition also. I think, the U.S. emphasis on individualism and innovation aligns well with the strategic goals of these companies.

b. How do threats that *Boeing* is facing differ from *GE* (e.g., using Porter's 5-Forces model--see Chapter 3 of Thompson et al.)? Which ones are the **MOST salient and why?**

The threats Boeing faces which are **different** than GE are :

1. Higher bargain power of buyer : The increased bargaining power of buyers is undeniably high, particularly in the case of Boeing, which has experienced a series of accidents, tarnishing its reputation within the airline industry. Despite these challenges, Boeing remains operational. However, I'm sure this situation has led to buyers having greater power in negotiations. This is not the case with GE as they do not have the reputation as of Boeing. I think this has to be the most salient one.

2. Not being conglomerate : Boeing, as an aircraft manufacturer, faces considerable bargaining power from suppliers due to its reliance on specialized components and materials for aircraft production. However, Boeing's size and influence in the aerospace industry allow it to negotiate favorable terms with suppliers, mitigating some of this bargaining power. In contrast, GE's **conglomerate** structure spans multiple industries, including aviation, healthcare, and energy. While GE Aviation, as a division, may face bargaining power from suppliers, GE's overall conglomerate structure enables it to use economies of scale and bargaining power across its diverse business segments. I think GE could use their advantage as GE may negotiate bulk discounts on raw materials or components shared across its various divisions, thereby reducing supplier bargaining power compared to Boeing.

3. Competitive Rivalry: While GE faces rivalry from others in the aerospace industry, they don't face direct competition with Airbus and other aircraft manufacturers in the same way Boeing does. Instead, GE's competition primarily arises from other engine manufacturers and aerospace component suppliers, such as Rolls-Royce. I believe these distinction in competitive dynamics sets whole different level of threats for Boeing and GE, shaping their strategies and risk profiles accordingly.

- c. **Finally, *GE* recently completed their split into three separate business units in April 2024. Provide a strategic audit of the split. How will this affect *GE Aerospace* the most? How will this most likely affect *Boeing*?**

1. **Financially:** With increased autonomy, GE Aerospace can focus on operations and optimize investments in research, development, and production, potentially leading to improved profitability and shareholder value. I predict that being a more focused business unit, GE Aerospace may have enhanced access to capital markets, allowing for targeted investments in growth initiatives and strategic partnerships.

2. **Operational Flexibility:** With the split, GE Aerospace gains greater operational flexibility to tailor its strategies, investments, and resource allocations to the unique demands of the aerospace market. I strongly believe that this agility can enable GE Aerospace to adapt more quickly to changes in customer preferences, technological advancements, and regulatory requirements, enhancing its competitiveness in the industry.

3. **Impact on Boeing:** The split of GE into separate business units may impact Boeing in several ways. Firstly, I think it could potentially disrupt existing supplier relationships and supply chain dynamics between Boeing and GE Aerospace. Boeing may need to reassess its sourcing strategies and supplier partnerships to ensure continuity and reliability in the critical components, such as jet engines. Additionally, I strongly argue that the increased focus and specialization of GE Aerospace may lead to increased competition in the aerospace supplier market, potentially influencing pricing dynamics and technological innovation within the industry.